Statement II: A ‘Policy Cut Motion’ is a parliamentary tool used by members to express disapproval of the policy underlying a demand, proposing that the amount of the demand be reduced.
a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

44. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (Understand)(CO3)
Assertion (A): The ‘Principle of Rule of Lapse’ is a fundamental concept in government budgeting where any unspent funds from a ministry’s budget automatically lapse at the end of the financial year and cannot be carried forward.
Reasoning (R): The primary purpose of this principle is to enforce financial discipline, encourage departments to utilize their allocated funds in a timely manner, and prevent the hoarding of public money.
a) Both A and R are true, and R is the correct explanation of A.
b) Both A and R are true, but R is not the correct explanation of A.
c) A is true, but R is false. d) A is false, but R is true.

45. Consider the following statements regarding public and private finance and state which are true. (Understand)(CO1)
Statement (1): The primary objective of public finance is to maximise social welfare, whereas the primary objective of private finance is to maximise personal profit.
Statement (2): Public revenue, such as taxes, is compulsory in nature, while private income from sources like salaries is voluntary and effort-based.
Statement (3): Public finance decisions are often transparent and subject to public scrutiny, while private finance decisions are generally confidential.
Statement (4): In public finance, the government first determines its expenditure and then seeks ways to raise the necessary income, a process known as deficit financing.
a) (1) and (2) only b) (2), (3) and (4) only c) (1), (3) and (4) only d) (1), (2), (3) and (4)

46. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (Understand)(CO1)
Assertion (A): According to Hugh Dalton’s Principle of Maximum Social Advantage, the ideal level of fiscal operations is reached when the Marginal Social Benefit (MSB) from public expenditure equals the Marginal Social Sacrifice (MSS) from taxation.
Reasoning (R): This point of equilibrium ensures that the net social benefit to society is maximised, meaning every unit of money transferred from the public to the government and back yields the greatest possible welfare.
a) Both A and R are true, and R is the correct explanation of A.
b) Both A and R are true, but R is not the correct explanation of A.

c) A is true, but R is false. d) A is false, but R is true.

47. Consider the following statements and choose the most appropriate alternative. (Understand)(CO1,2)
Statement I: The Impact of Taxation refers to the initial point of burden, falling on the person or entity legally responsible for first paying the tax to the government.
Statement II: The Incidence of Taxation refers to the final resting place of the tax burden after it has been shifted, indicating who ultimately bears the economic cost of the tax.
a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

48. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (Understand)(CO3)
Assertion (A): The Finance Commission recommends the principles governing grants-in-aid of the revenues of the States out of the Consolidated Fund of India.
Reason (R): This is to ensure that States with low revenue-generating capacity are compensated to maintain fiscal balance.
a) Both A and R are true, and R is the correct explanation of A.
b) Both A and R are true, but R is not the correct explanation of A.
c) A is true, but R is false.
d) A is false, but R is true.

49. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (Understand)(CO3)
Assertion (A): The Fiscal Responsibility and Budget Management (FRBM) Act in India provides a framework to ensure the long-term sustainability of public debt.
Reasoning (R): The FRBM Act sets specific debt-to-GDP targets, including a Central Government debt level of 40% of GDP and a combined Centre and State debt level below 60% of GDP.
a) Both A and R are true, and R is the correct explanation of A.
b) Both A and R are true, but R is not the correct explanation of A.
c) A is true, but R is false.
d) A is false, but R is true. $(25\times 2 = 50)$